

One month. Three views.

A small market stall buys finished goods for resale. All amounts and dates are invented. This is a separate teaching case, not a valuation of growing crops, animals or a whole farm. Period: 1-31 January 2027. No VAT or income-tax calculation.

Opening position: cash R1000; customers owe R200; stock R300; equipment R600. Suppliers are owed R300; no loan. Assets R2100, liabilities R300, equity R1800. No other opening balances are supplied.

Ref / day	Source evidence
R01 / 05	R200 receipt linked to the opening customer balance. The sale belongs to the earlier period.
P01 / 08	Supplier invoice and goods received: R400 carrying cost, R250 paid, R150 still owed. Stock is not yet sold.
S01 / 10	Delivery and accepted R900 credit invoice establish the sale in this case. Goods supplied have verified carrying cost R350. No payment yet.
R02 / 15	Receipt linked to S01. R600 settles part of R900; it is not a second sale.
P02 / 16	Supplier statement and payment match R200 of the payable balance. No new expense is created by this settlement.
E01 / 20	R300 paid. For this exercise, the item qualifies as equipment and is available for use. Its period charge is supplied separately by D01.
L01 / 21	R500 advance and matching obligation. No withheld fee in this case. Borrowing is not a sale.

For S01 and R02, explain why receiving money does not create a second sale.

Keep the dates together

Continue the same January case. The assumptions below apply only to this exercise. A document date and a payment date may differ from the event date.

Ref / day	Source evidence
L02 / 24	R110 paid: R100 principal and R10 interest for this period. No other charge in this simplified schedule.
H01 / 26	Owner takes R150 for personal use. This is a withdrawal of equity, not wages or a business expense in this case.
A01 / 28	Signed January transport completion record supports an agreed R80 charge. Invoice arrives 2 February. No payment by 31 January.
F01 / 29	R120 paid for storage supplied wholly in February. The unused right is a prepayment at 31 January, under this exercise assumption.
U01 / 31	R60 utility charge relates entirely to January and is paid on 31 January.
C01 / 31	Approved physical count, valuation and reconciliation confirm R300 closing stock and a R50 loss. This is not a guess from an unexplained count difference.
D01 / 31	Reviewed exercise schedule supplies R60 depreciation for January across the equipment. No useful life, rate or tax allowance is inferred.

X01 / 5 February: the remaining R300 of S01 is received. Does it belong in January cash? Why?

Which January cost is unpaid? Which January payment buys a future service?

Build the three summaries

Use the opening balances and all January cards. Keep X01 outside the January cash total. These are simplified model summaries, not a complete set of financial statements.

January cash	Your amount
Opening cash	R1000.00
Receipts: R01 + R02 + L01	R _____
Payments: P01 cash part + P02 + E01 + L02 + H01 + F01 + U01	R _____
Closing cash	R _____
Change from opening cash	R _____

January result before tax in this model	Your amount
Sales S01	R _____
Less goods supplied, interest, transport and utilities	R _____
Less reviewed stock loss and depreciation	R _____
Result	R _____

Position at 31 January: add cash, customers owing, stock, equipment and prepayment. Then compare with payables, loan and equity.

Why are the change in cash and the period result different? Explain one source card that causes a difference.

Do not finish a missing number

Stock bridge: opening R300 + purchases R400 - goods supplied R350. What is the book value before C01? Then use the reviewed R300 closing value to find the loss.

Remove C01: the closing count and valuation are unavailable. Which balances remain supported? Which complete totals must stay unknown? Do not reuse the other case's closing stock.

Equipment: opening R600 + new tool R300 - supplied January charge R60. What is the closing carrying amount? Why is the charge not another cash payment?

Fresh sale case: opening cash R400 and resale stock R120, no debt. Deliver the whole stock for a R300 credit sale, then collect R200. Find cash, amount owed, stock, result and total assets.

Fresh prepayment: opening cash R200 only. Pay R90 for a service wholly next month, still unused now. Find cash, prepayment, period result and assets. What evidence is needed if the service dates are missing?

Prepare an evidence pack

Use invented or approved redacted documents for group work. Keep private identifiers and real customer finances out of the class. Record what is supplied, what is missing, and who can help resolve it.

Document group	Reference / period	Missing evidence or question
Opening balances		
Sales, deliveries and receipts		
Bills and payments		
Stock and equipment		
Amounts owed and loan schedule		
App export and reconciliation		

Discuss: Does a printed VAT number prove a compliant tax invoice? Does an app export prove complete accounts or loan approval? Does no return automatically mean no records?

Find the right source: record an official SARS page, the date checked and one exact question for suitable local help. Do not infer a universal retention period, tax rate or registration result.

Start with sars.gov.za/client-segments/record-keeping/ and sars.gov.za/businesses-and-employers/government/tax-invoices/. Current applicability still needs checking. An app field is not a compliance decision.

App companions: imbewufield.vercel.app/student/guides/invoices and [/student/guides/sales](https://imbewufield.vercel.app/student/guides/sales). Keep exercise figures outside actual My Records.